Subprime loans

A **subprime loan** is a type of loan offered to borrowers who have **poor credit histories** or **low credit scores** and are considered **high risk** by lenders. These borrowers are typically those who have missed payments, defaulted on previous loans, or have little to no credit history, which makes it difficult for them to qualify for **prime loans** that come with more favorable terms.

Because subprime borrowers are more likely to default, lenders compensate for this higher risk by offering loans at **higher interest rates** and often with **less favorable terms**. Subprime loans are commonly associated with:

1. **Higher Interest Rates**: Since the risk of default is higher, lenders charge higher interest rates to cover the potential losses.
2. **Larger Down Payments**: For loans like mortgages, subprime borrowers might be required to put down a larger down payment to reduce the lender's risk.
3. **Additional Fees or Penalties**: Subprime loans may include **prepayment penalties** or other fees, further increasing the cost of the loan.

Types of Subprime Loans

- **Subprime Mortgages**: These are home loans offered to borrowers with poor credit. They became particularly well-known during the **2007-2008 financial crisis**, when the high default rate on subprime mortgages contributed to the housing market collapse.
- **Subprime Auto Loans**: Car loans offered to borrowers with bad credit, often with higher interest rates and sometimes requiring a larger down payment.
- **Subprime Credit Cards**: Credit cards issued to individuals with low credit scores. These cards typically have higher **annual percentage rates (APRs)** and may come with lower credit limits and higher fees.

Why Borrowers Take Subprime Loans

- **Limited Options**: Borrowers with poor credit scores may not qualify for traditional loans, so they turn to subprime loans as one of their few options to access credit.
- **Urgent Financial Needs**: Some borrowers may need immediate access to funds (for example, to buy a car or cover medical expenses) and are willing to accept the less favorable terms of a subprime loan.

Risks of Subprime Loans

- **Higher Cost**: The higher interest rates and fees make subprime loans significantly more expensive over time.
- **Risk of Default**: Because the payments can be higher due to interest rates, subprime borrowers are more likely to struggle with repayments, leading to a higher risk of default.
- **Impact on Credit**: Failure to repay subprime loans on time can further damage a borrower's credit score, making it even harder to obtain credit in the future.

Subprime Lending and the 2008 Financial Crisis

Subprime lending played a central role in the **2007-2008 financial crisis**. Leading up to the crisis, banks aggressively offered **subprime mortgages** to borrowers who could not afford them, often with **adjustable interest rates** that spiked after an initial period. When these borrowers began to default in large numbers, it led to a wave of foreclosures, contributing to the collapse of financial institutions and a broader economic downturn.